

Sharpe ratio of 1, just like the Moskowitz et al. (2012) study. Absolute momentum monthly correlations to both the S&P 500 and U.S. 10-year Treasuries were only -0.05 over the entire period from 1903 to 2011.

In 2012, I was first-place winner of the Wagner Awards given annually by the National Association of Active Investment Managers (NAAIM) for Advances in Active Investment Management. The paper I submitted was “Risk Premia Harvesting Through Dual Momentum.” Half of dual momentum is absolute momentum. In that paper, I demonstrated how absolute momentum gave better long-run results than relative momentum. Not only did absolute momentum offer higher expected returns but, unlike relative momentum, it also substantially reduced downside exposure during bear markets.

In 2013, I wrote “Absolute Momentum: A Universal Trend-Following Overlay.” This paper demonstrated the usefulness of absolute momentum as a trend-following overlay, as well as a stand-alone strategy, under different scenarios. I also explored look-back periods and confirmed the value of using a 12-month period with absolute momentum. I demonstrated how absolute momentum can improve risk parity portfolios by reducing their exposure to bonds and their need for leverage. I have included that paper as [Appendix B](#) of this book.

Low volatility portfolios have recently become popular owing to their somewhat favorable past performance relative to the broad market indices. The reason for their attractive relative performance primarily is due to their lower volatility in down markets. Absolute momentum can provide greater downside protection than low volatility portfolios while preserving more upside market potential. It can also do this without the tracking error, sector concentration, and high turnover issues associated with low volatility portfolios, as identified in [Chapter 6](#).

DUAL MOMENTUM—THE BEST OF BOTH WORLDS

Even though absolute momentum often gives better risk-adjusted results than relative momentum, most practitioners use only relative momentum.